

Problem Statement

Currently, flexible benefits rely on manual reimbursement, where employees must prove eligible spends to receive tax exemptions. SalarySe can replace this with transaction-level intelligence, where eligible spends are automatically detected and reported to payroll systems, eliminating friction while ensuring compliance.

Most salaried users - Don't optimize taxes effectively - Miss reimbursements due to manual effort - Don't track eligible expenses - Lose ₹10K-₹50K annually in tax savings	Why this problem matters? For salaried users - Financial stress for salaried users - Low awareness of tax-saving opportunities - Poor engagement with financial products For SalarySe - Missed opportunity to drive daily usage - Weak differentiation vs UPI apps
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<i>What is SalarySe Flexi Benefits feature?</i> - Tracks user spending via UPI - Identifies tax-exempt eligible expenses - Converts them into structured reimbursement records - Shares them with employer/payroll systems	Why this feature? - High daily usage - Strong monetization (transactions + partnerships) - Replaces broken reimbursement systems - Fits into SalarySe's salary-linked ecosystem
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Belongs to **Flexible Benefits Plan (FBP)** under **Employee Benefit Scheme**

- FBP is a compensation structure where Part of salary is allocated to specific expense categories
- If employee submits valid proof, amount becomes tax-exempt
- FBP categories Food allowance, Fuel, Internet, phone, LTA (travel), learning

Tax savings already exist, but are underutilized due to friction. This feature removes that friction.

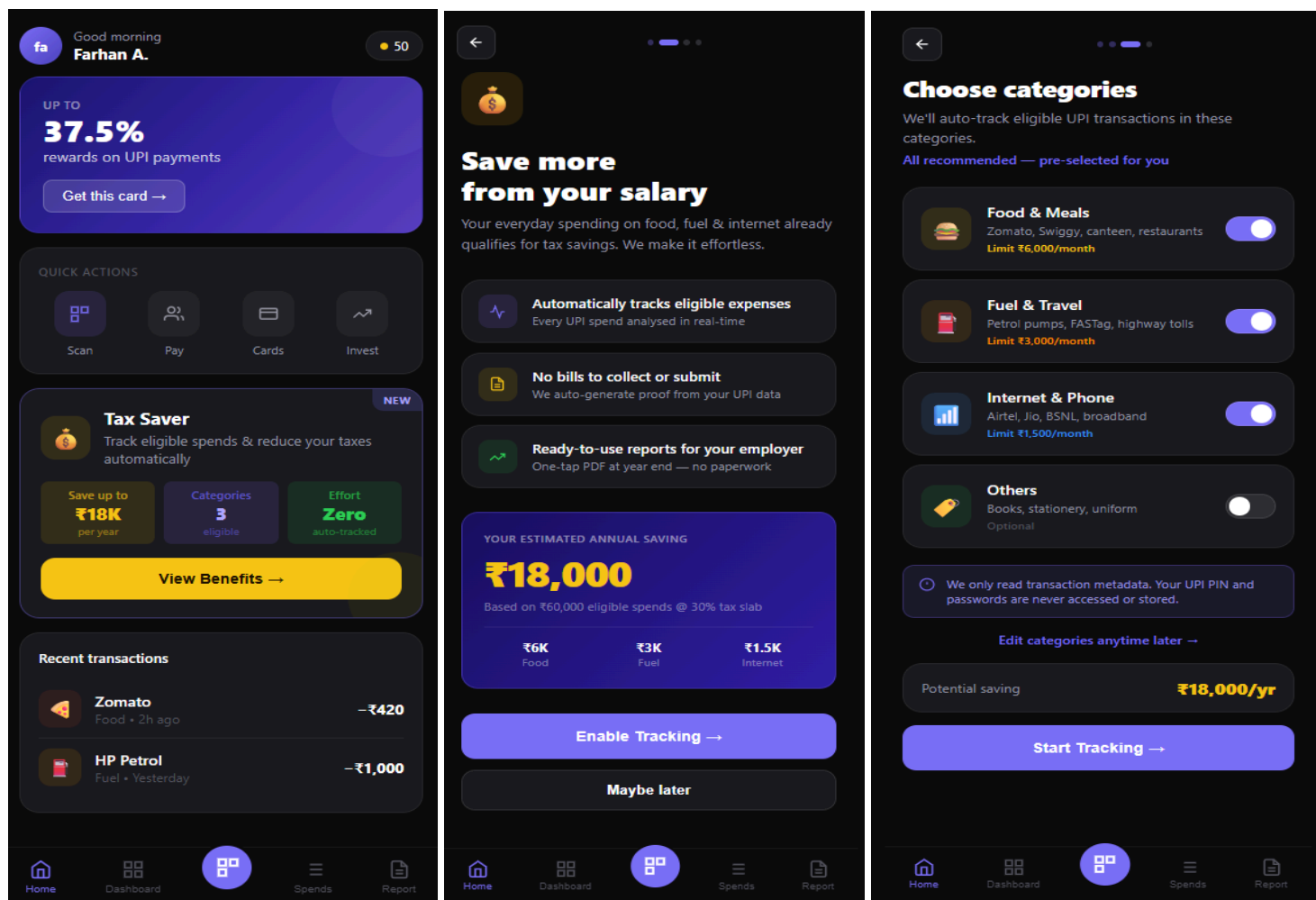
Current System 1. Salary credited 2. Employee spends money 3. Employee collects bills 4. Submits manually 5. Employer verifies 6. Tax adjusted	With SalarySe 1. Salary credited 2. User spends via SalarySe UPI 3. System auto-tags transactions 4. Builds monthly report 5. Sends structured output to employer 6. Tax adjusted automatically
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- Government allows tax-exempt on certain expenses
- SalarySe captures proof automatically, structures it, sends to payroll
- User earns same salary, pays less tax

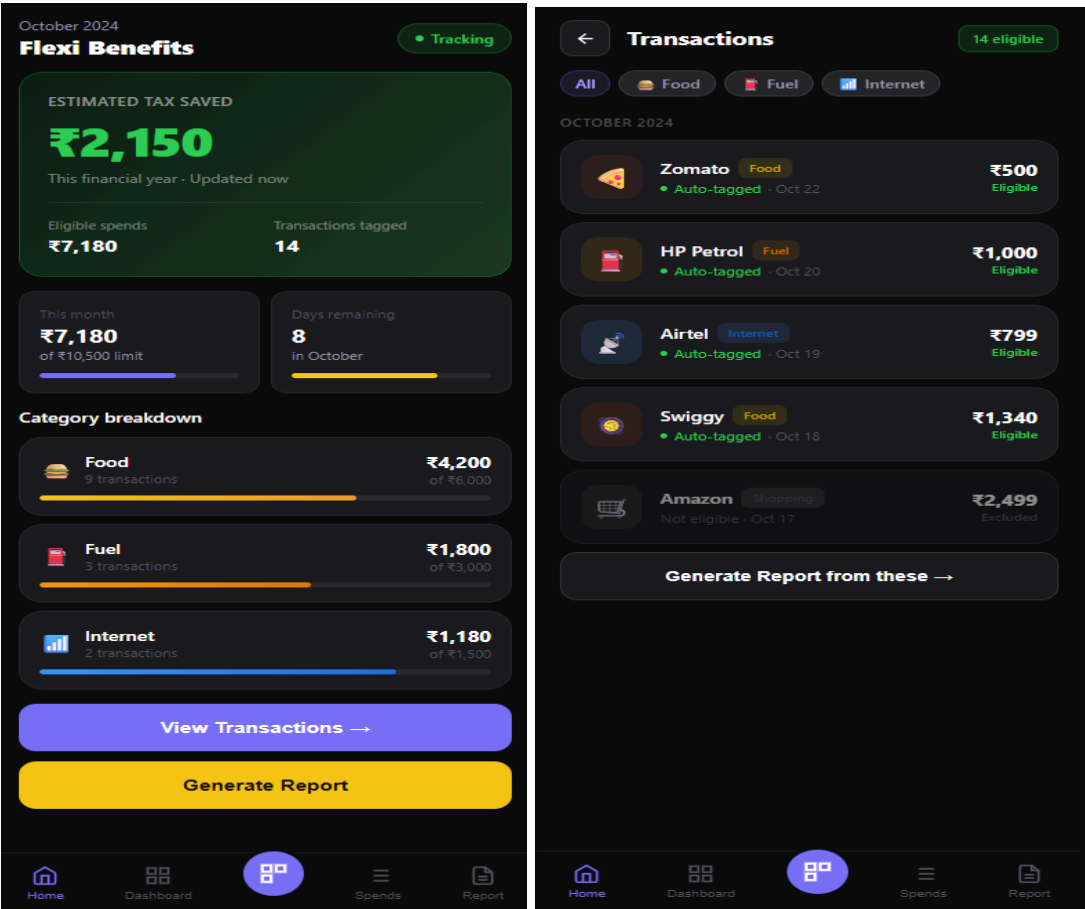
User Persona (Primary User)	User Pain Points (User doesn't...)
- Age: 23–40 - Income: ₹4L–₹20L - Uses UPI daily - Limited tax knowledge - Values convenience - Doesn't optimize finances actively - Responds to passive benefits	- know what qualifies for tax savings (Awareness Gap) - want to track and submit bills (Effort Gap) - Know what they can actually save (Trust Gap) - Remember at year end (Timing Gap)

User Workflow

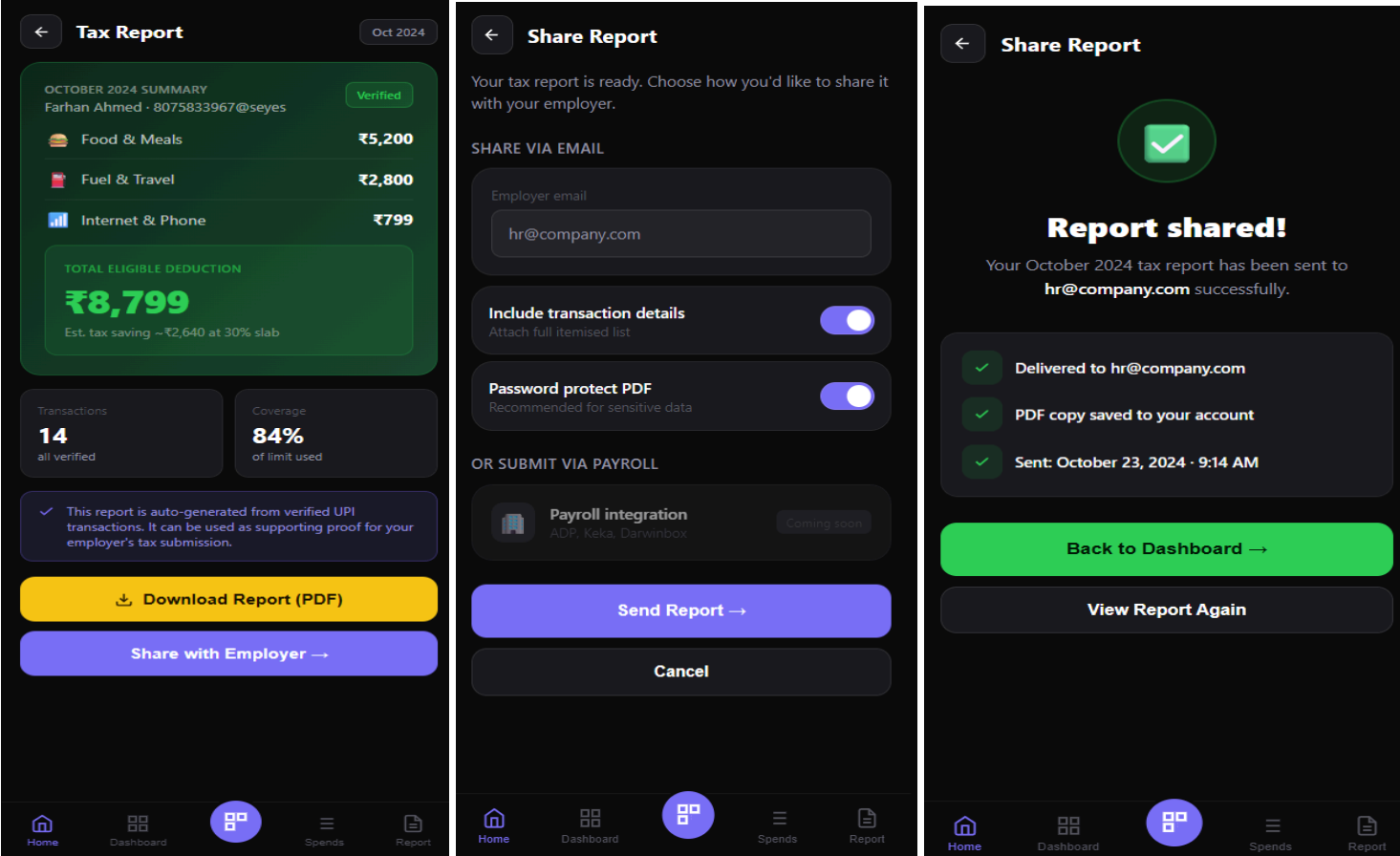
1. **Discovery** - User discovers “Flexi Benefits – Tax Saver” on the home screen via a highlighted card.
2. **Activation** - User views benefits and enables expense tracking for eligible categories (Food, Fuel, Internet).
3. **Seamless Usage** - User continues regular UPI transactions without any change in behavior.
4. **Automated Processing** - System automatically identifies and tags eligible transactions into relevant categories.
5. **Value Visibility** - User accesses a dashboard displaying category-wise spend and estimated tax savings.
6. **Report Generation** - System generates a structured monthly tax report with eligible deductions.
7. **Employer Submission** - User shares the report with employer via download (PDF) or direct payroll integration (API)



Onboarding & Activation



Value Visibility & Transaction Tracking



Report Generation & Employer Submission

Business Impact

User Side - Higher savings - Better financial awareness - Increased trust	SalarySe Side - Increased UPI transactions & engagement - Higher retention - Cross-sell opportunities - Strong differentiation
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Monetization Strategy (high-frequency behavioral driver that unlocks multiple monetization layer)

- Increase in Transaction Volume.
 - Users are incentivized to route eligible spends (food, fuel, etc.) via SalarySe
 - Revenue: Payment network incentives / bank partnerships, Interchange (where applicable via cards / credit rails)
- Credit & Lending Upsell
 - Spending insights used to offer targeted lending
 - Revenue: Interest income, and Lending partner commissions
- Employer SaaS (B2B Layer)
 - Companies get Automated reimbursement processing, Reduced finance team workload, Compliance-ready reporting
 - Priced per employee/month, Tiered based on company size, Enables enterprise relationships, payroll integration
- Data Flywheel (long-term)
 - SalarySe gets Category-level spending data, Salary-linked behavior, Financial discipline signals
 - Can be used for Credit scoring, Risk models, Personalized financial products

Success Metrics

Description	Metric 1	Metric 2
North Star Metric	Eligible Spend Captured per Active User	Tied to user value delivered, indicator of retention & monetization
Activation	% of users clicking "Tax Saver"	% completing category setup
Behavioral Shift	% of eligible transactions routed via SalarySe	Increase in UPI share of wallet
Engagement	Monthly active feature users	Avg dashboard visits / month
Value Delivered	Avg ₹ eligible deduction per user	Avg tax saved per user
Retention Impact	D30 retention (feature users vs baseline)	Frequency uplift (transactions/user/month)
Revenue Proxies	UPI txn/user/month	Credit conversion rate & ARPU uplift

Key Risks	Mitigation Plan
Incorrect Transaction Classification	Classification Accuracy - Start with high-confidence categories (food, fuel) - Allow manual override - Show “confidence tag” to user
Limited Employer Adoption	Employer Integration Strategy - Phase 1: PDF reports (user-driven) - Phase 2: Email integration - Phase 3: Payroll API integrations
Regulatory & Compliance Risk	Compliance Guardrails - Category caps (as per tax rules) - Clear disclaimers - Audit-friendly reporting
Low User Perceived Value Initially	Value Visibility - Show: “You saved ₹X this month”, “Projected yearly savings”
Behavior Inertia	Behavioral Nudges - “Use SalarySe for this payment to save tax” - Smart reminders

Additional Feature Suggestions

- **SalarySe Cash (Salary-linked Credit):** A pre-approved, salary-linked credit line offered to users based on income stability, transaction behavior, and risk profile.
- **SalarySe Invest (Tax-aware Investing):** An investment module offering mutual funds and tax-saving instruments (ELSS, NPS), integrated with salary insights and personalized recommendations.